May/June 2018 Paper 02

This paper consists of FIVE questions. Answer ALL questions.

Question 1

1(a)(i) Definition of organizational chart

Define the term 'organizational chart'. (2 marks)

An organizational chart is a diagram that shows the structure of a business by setting out the different positions, departments and the lines of authority and responsibility that link them. It allows everyone in the business to see who reports to whom and how the various jobs fit together.

1(a)(ii) Rules for constructing organizational charts

State TWO rules that should be followed when constructing organizational charts. (2 marks)

- Each box in the chart should show the title of the position, not the name of the person, and positions of equal rank should be drawn at the same level.
- The lines that join the boxes must clearly show the chain of command, with each worker connected by a single line to only one immediate superior.

1(b) Simple line organizational chart

Construct a simple line organizational chart showing THREE levels and THREE positions for a small private limited company. (4 marks)

A simple three-level line organizational chart for a small private limited company can be set out as follows. At the top level there is the Managing Director, who has overall control of the company. The Managing Director is connected by a single line to the second level, where the Sales Manager is in charge of the sales side of the business. The Sales Manager in turn is connected to the third level, where the Sales Clerk works directly under the Sales Manager. Each box on the chart represents a position rather than a named person, and the single lines joining the boxes show that each position reports to only one superior, which is the main feature of a line organisational structure.

1(c) Duties of a personnel or human resource manager

List THREE duties of a personnel or human resource manager. (3 marks)

- Recruiting and selecting suitable workers to fill vacancies in the business.
- Arranging training and development programmes to improve the skills of staff.
- Handling matters of pay, welfare, discipline and grievance for all employees.

1(d)(i) Causes of conflict within an organization

Suggest THREE potential causes of conflict within an organization. (3 marks)

- Poor communication between management and workers, leading to misunderstandings.
- Disagreement over wages, working hours and conditions of service.

- Personality clashes and unfair treatment among workers and managers.

1(d)(ii) Strategies to resolve conflict

Explain TWO strategies that could be used to resolve conflict within an organization. (6 marks)

Negotiation

Negotiation is a strategy in which the parties in conflict meet face to face, share their points of view and try to reach a settlement that both sides can accept. The talks may be between management and workers directly or between management and a trade union representing the workers. Because the parties work out the solution themselves, they are more likely to keep to the agreement and to maintain good working relations afterwards.

Mediation

Mediation is a strategy in which the parties bring in a neutral third person, called a mediator, to help them settle the dispute. The mediator listens to both sides, helps them understand each other's concerns and suggests possible solutions, but does not force any decision. This often helps the parties to reach a fair settlement quickly and at lower cost than going to court.

Question 2

2(a) Characteristics of an entrepreneur

Michelle invented a unique household product and wants to start her own business. List FOUR characteristics she should display as an entrepreneur. (4 marks)

- Willingness to take calculated risks with her own money and time.
- Creativity and innovation, since she has been able to invent a new product.
- Self-confidence and the ability to make decisions and stand by them.
- Hard work and determination to keep going even when problems come up.

2(b) Roles of the entrepreneur

Outline EACH of the following roles of the entrepreneur: (i) Accessing funds; (ii) Organizing. (2 marks each)

(b)(i) Accessing funds

As part of accessing funds, the entrepreneur is responsible for finding the money needed to start and run the business. This may come from personal savings, loans from a bank or credit union, money from family and friends or by attracting investors who will buy shares in the business.

(b)(ii) Organizing

As part of organising, the entrepreneur brings together the four factors of production, namely land, labour, capital and enterprise, in the right amounts and arranges them so that goods and services can be produced. This includes deciding who will do which job, where the work will take place and how the work will flow from one stage to the next.

2(c) Steps in setting up a business

Paul and his partner are seeking to establish a business. For EACH of the following statements, identify the step they have taken: (i) Paul came up with an idea to place custom designs on sports cars; (ii) Paul met with his partner and determined how much raw material and capital, and how many workers they would need to start the business; (iii) The partners went around the community asking people if they would be interested in having custom designs on their cars and how much they would be willing to pay; (iv) The partners created a document which summarized the production, marketing and financial elements of the business to present to potential investors. (4 marks)

Step (i)

This is the generation of the business idea, in which the entrepreneur identifies a product or service that he believes can be sold to customers.

Step (ii)

This is the identification of resources, in which the entrepreneurs work out the amount of raw materials, capital and labour that the business will need.

Step (iii)

This is conducting market research, in which the entrepreneurs find out from potential customers whether they would buy the product and how much they would be willing to pay.

Step (iv)

This is the preparation of a business plan, which is a document that summarises the production, marketing and financial elements of the business and is used to attract investors.

2(d) Key functional area of a business

Describe ONE key functional area of a business. (2 marks)

The marketing department is one key functional area of a business. It is responsible for finding out what customers want through market research, deciding what products to offer, setting prices, choosing where the goods will be sold and planning advertising and sales promotion to attract and keep customers.

2(e) How planning improves a business

Explain TWO ways in which planning can improve the operation or success of a business. (6 marks)

Provides clear direction and goals

Through planning, the owners and managers set out the goals of the business and the steps that will be taken to reach them. This gives every worker a clear idea of what is to be done, by when and to what standard, so that effort is not wasted on activities that do not move the business forward. With clear goals, it is also easier to check progress and to see where adjustments are needed.

Helps to make better use of resources and reduce risk

Planning forces the business to think in advance about the money, materials, workers and time that will be needed and to compare this with what is available. This helps to avoid waste, prevents shortages and

allows the business to spot possible problems before they happen so that steps can be taken to deal with them. As a result, the business is more likely to operate smoothly and to succeed in a competitive market.

Question 3

3(a)(i) Definition of production

Define the term 'Production'. (2 marks)

Production is the process of creating goods and services to satisfy human wants and needs. It involves combining the factors of production, namely land, labour, capital and enterprise, to produce items that have value and that can be sold to consumers.

3(a)(ii) Definition of productivity

Define the term 'Productivity'. (2 marks)

Productivity is a measure of how efficiently the factors of production, especially labour, are used in the production process. It is usually calculated as the amount of output produced for each unit of input, so labour productivity is the output produced per worker over a given period of time.

3(b) Factors that affect the supply of labour

Identify TWO factors that can affect the supply of labour to a business. (2 marks)

- The level of wages and other benefits offered by the business compared with what is offered elsewhere.
- The size of the working population and the level of training and skills available in the area.

3(c) Factors that influence productivity of labour

Describe TWO factors that can influence the productivity of labour. (4 marks)

Education and training of workers

When workers are well educated and have been trained for the jobs they do, they understand their tasks better, work faster and make fewer mistakes. This raises the output produced per worker. Workers who lack training take longer to do tasks and waste more material, which lowers productivity.

Quality of tools and equipment

Workers who are given modern, well-maintained tools and machines can produce a much larger amount of output in the same time than workers using old or broken equipment. So the better the tools and equipment provided by the business, the higher the productivity of the labour force.

3(d) Subsistence vs domestic production

Differentiate between 'subsistence production' and 'domestic production'. (4 marks)

Subsistence production

Subsistence production is a type of production in which goods are produced mainly to meet the basic needs of the producer and his or her family, with little or nothing left over to sell. A small farmer who

plants ground provisions and raises a few animals just to feed his household is carrying on subsistence production.

Domestic production

Domestic production is the production of goods and services within a country to be sold on the local market rather than for export. It includes all the items made by Caribbean factories, farms and service businesses that are bought and used by people living in the same country.

3(e) Impact of improvements in technology

Explain ONE positive and ONE negative impact on a business, which result from improvements in technology. (6 marks)

Positive impact

Improvements in technology allow a business to produce goods and services more quickly and with fewer mistakes than before. Modern computers, software and machines can do in minutes work that used to take hours, and they can produce items to a higher and more uniform quality. As a result, the business can serve more customers, lower its costs per unit and earn higher profits.

Negative impact

On the other hand, improvements in technology can lead to the loss of jobs and high costs for the business. As machines and computers take over tasks that were once done by people, workers may be laid off and the business may face protests and a fall in staff morale. The business also has to spend large sums to buy, install and maintain the new equipment and to retrain workers, which can be a heavy burden, especially for small firms.

Question 4

4(a) Marketing activities

List FOUR marketing activities. (4 marks)

- Carrying out market research to find out what customers want.
- Designing and developing new products to meet customer needs.
- Setting prices that are attractive to customers and that cover the costs of the business.
- Advertising and promoting the products to make customers aware of them and to encourage sales.

4(b) Elements of the traditional marketing mix

Outline TWO elements of the traditional marketing mix. (4 marks)

Product

Product refers to the goods or services that the business offers to customers. Decisions under this element include what features the product will have, what quality level to aim for, the brand name to be used and the type of packaging in which the product will be sold, all of which must match what the target market wants.

Price

Price is the amount of money that the customer has to pay to obtain the product. The business must set a price that is high enough to cover its costs and earn a profit, yet low enough to attract customers and to compete with similar products on the market. Discounts, credit terms and special offers are also part of pricing decisions.

4(c) Methods of promoting sales

Describe EACH of the following methods of promoting sales: (i) Public relations (PR); (ii) Sales promotions. (4 marks)

(c)(i) Public relations (PR)

Public relations is a method of promoting sales in which the business works to build a good image of itself in the eyes of the public. This is done through activities such as sponsoring sports teams, supporting charities, issuing press releases and holding open days, so that customers come to see the business as caring and trustworthy and become more willing to buy its products.

(c)(ii) Sales promotions

Sales promotions are short-term offers used to encourage customers to buy a product right away. Examples include discounts, coupons, free samples, 'buy one get one free' deals and competitions. These offers create excitement around the product, attract new customers, encourage existing customers to buy more and help to clear old stock.

4(d)(i) Definition of retailing

Kevin and Mala have been thinking of setting up a cellphone and accessories business together. Define the term 'retailing'. (2 marks)

Retailing is the activity of buying goods in fairly large quantities from manufacturers or wholesalers and then selling them in small quantities directly to the final consumer. The retailer earns a profit by selling the goods at a higher price than the cost at which they were bought.

4(d)(ii) Suitable retail outlets for Kevin and Mala

Describe THREE suitable types of retail outlets that Kevin and Mala could consider setting up. (6 marks)

A specialty shop

A specialty shop is a small or medium-sized store that sells a narrow range of related products. Kevin and Mala could open a specialty shop that deals only in cellphones and accessories such as cases, chargers and headphones. The narrow focus allows them to carry a wide selection of these items and to offer expert advice to customers.

A kiosk in a shopping mall

A kiosk is a small stand-alone unit set up in the walkway of a shopping mall or busy public place. Kevin and Mala could set up a kiosk to display and sell cellphones and accessories to the many shoppers who pass by. A kiosk costs less than a full shop to rent and operate, yet it benefits from the heavy foot traffic in the mall.

An online store

An online store is a retail outlet that sells goods through a website or a social media page rather than from a physical building. Kevin and Mala could set up an online store that allows customers to browse, order and pay for cellphones and accessories from their own homes, and the items can then be delivered. This widens the market and keeps overhead costs low.

Question 5

5(a) Functions of economic institutions

State ONE major function of EACH of the following economic institutions: (i) Caribbean Community (CARICOM); (ii) World Trade Organization (WTO). (2 marks)

(a)(i) Caribbean Community (CARICOM)

One major function of CARICOM is to promote economic integration and cooperation among its member states by allowing the free movement of goods, services, capital and skilled labour through the CARICOM Single Market and Economy.

(a)(ii) World Trade Organization (WTO)

One major function of the WTO is to set and enforce the rules of international trade among its member countries so that trade flows as freely and fairly as possible, and to settle disputes between countries on trade matters.

5(b) Alleviating economic problems

Outline ONE way in which governments can alleviate EACH of the following economic problems: (i) Unemployment; (ii) Overpopulation; (iii) Migration. (6 marks)

(b)(i) Unemployment

The government can alleviate unemployment by setting up training and retraining programmes that give jobless workers the skills needed in industries where workers are in demand. The government can also provide tax breaks and other incentives to businesses that create new jobs, which encourages firms to expand and hire more workers.

(b)(ii) Overpopulation

The government can alleviate overpopulation by running family planning education programmes and providing affordable family planning services so that families have the information and means to choose the size of their families. This helps to slow the rate of population growth and to ease pressure on housing, schools and health services.

(b)(iii) Migration

The government can alleviate the harmful effects of migration by improving wages, working conditions and career opportunities at home, especially for skilled workers such as nurses and teachers. When workers feel that they can earn a decent living and develop their careers within the country, fewer of them feel the need to leave for jobs abroad.

5(c) Definition of economic dualism

Define the term 'economic dualism'. (2 marks)

Economic dualism refers to the situation in a country where two very different economic systems exist side by side. One sector is usually modern, uses advanced technology and produces for export, while the other sector is traditional, uses simple methods and produces mainly for local use, with little contact between the two.

5(d) Benefits of foreign direct investment (FDI)

Outline TWO benefits of obtaining foreign direct investment (FDI). (4 marks)

Brings in capital and creates jobs

Foreign direct investment brings money from abroad to set up or expand businesses such as factories, hotels and mines in the host country. This creates jobs for local workers, who earn wages that they can spend in the local economy, and adds to the country's output and tax revenue.

Transfer of technology and skills

Foreign investors usually bring with them modern machinery, new methods of production and management know-how. As local workers are trained to operate the new equipment and to use the new techniques, the level of skills and technology in the host country improves, which raises productivity and helps local businesses to grow.

5(e) Government assistance to manufacturing sector

Explain TWO ways in which Caribbean governments can assist in the development of the manufacturing sector of their countries. (6 marks)

Providing tax incentives and subsidies

Caribbean governments can support manufacturing by offering tax holidays, lower company tax rates, duty-free import of raw materials and machinery, and direct subsidies to manufacturers. These measures lower the cost of setting up and running a factory, which encourages local and foreign investors to put their money into manufacturing and to expand existing factories. As a result, more goods are produced locally, jobs are created and the country relies less on imports.

Improving infrastructure and providing training

Governments can build good roads, ports, electricity supply, water systems and industrial parks so that manufacturers have the basic services they need to operate efficiently. They can also work with technical colleges to train workers in skills such as welding, machine operation and quality control. With better infrastructure and a more skilled workforce, manufacturers can produce goods at lower cost and higher quality, which makes their products more competitive at home and abroad.